

FOR THE ALBUM
PM Modi interacts with Trump confidant and Tesla CEO Elon Musk and his family at Blair House, in Washington DC; Feb. 13

with his tech frontiersman vibe. His dramatic buyout of Twitter in 2022 was in sync with his maverick personality. Now, teaming up with Trump to head the Department of Government Efficiency (DOGE), Musk, the world's richest man with a net worth of $402 billion, is under the spotlight again as he takes a large pair of scissors to American bureaucracy in a war on alleged wasteful expenditure of federal funds. He is also being watched for his next set of actions to further his business in new markets, including India.

Tesla had been eyeing an entry into India for long, but had hesitated due to India's high import duties on high-end cars. Musk had plans to meet PM Narendra Modi in April last year in New Delhi, but pulled out at the last minute. He was to then announce an investment of $2 billion to set up a Tesla factory in India. The meeting finally fructified this month in Washington, coinciding with Modi's meeting with Trump.

In the Union Budget 2025-26, the Centre took the first step to make investment in high-end cars in India attractive by reducing the import duty on vehicles priced above $40,000 (Rs 34.75 lakh) from 125 per cent to 70 per cent. This, along with the lowering of duties on imported motorcycles, was a message to Trump. "Both Tesla and Harley-Davidson—companies that have become significant players in the Trump administration's trade rhetoric when it comes to India—are likely to gain from these tariff cuts," says a report by the Observer Research Foundation.

Soon after the Modi-Musk meeting, advertisements appeared on LinkedIn announcing that Tesla was seeking candidates for customer-facing as well as back-end jobs in Mumbai and Delhi. Trump has openly said that any investment by Tesla in India would be "unfair to the US". But the businessman in Musk will see this as an opportunity to spread his risks away from China, given Beijing's souring ties with the US. Tesla's China sales had risen 8.8 per cent in 2024, to a record high of more than 657,000 cars.

The Indian EV market is forecast to expand from $3.21 billion (Rs 27,888 crore) in 2022 to $114 billion (Rs 9.9 lakh crore) by 2029. India aims to have an ambitious 80 million EVs on its roads by 2030. Initiatives like the Faster Adoption and Manufacturing of Hybrid and Electric Vehicles (FAME) scheme is expected to support this goal. Top Indian car makers like Tata Motors, Mahindra & Mahindra and Maruti Suzuki are already making EVs.

THOUGH TRUMP HAS SAID ANY INVESTMENT BY TESLA IN INDIA WOULD BE "UNFAIR TO THE US", THE BUSINESSMAN IN MUSK WILL SEE AN OPPORTUNITY TO MOVE HIS RISKS AWAY FROM CHINA

Experts, however, feel that it may not be easy for Tesla to become successful in the initial stages. "Tesla will not be able to sell even the basic vehicle below Rs 30 lakh, even if they start manufacturing locally," says Hemal Thakkar, senior practice leader and director, Crisil. "In India, the average ticket size for sales of a car is Rs 10 lakh. Tesla will be more of a challenge for a Merc, BMW or Audi in the luxury car segment and not Indian incumbents."

Meanwhile, Starlink, the satellite internet service which leverages a constellation of over 7,000 low-earth orbit (LEO) satellites to deliver high-speed internet, is not allowed to operate in India due to security concerns. The government is probing two incidents—a massive drug bust in the Andaman and Nicobar Islands and an insurgency-related raid in Manipur—that allegedly revealed the use of Starlink's satellite communication devices. Musk has insisted that the devices are not operational in India, and Starlink's future plans in India will be closely watched.

While Trump will guide the course of global trade and geopolitics over the next four years, it will be Musk that India will watch with keen interest. ■